

The Rich Report

U.S. ECONOMICS NEWS

- ◆ **Concentration Risk:** Market breadth remains historically narrow, with just 36% of S&P 500 constituents outperforming the index YTD through May 2026 — well below the 31-year average of 47% — while the ten largest companies command 39.3% of index weight, a concentration driven by AI capital demands, higher rates, and geopolitical flight to large-cap stability.³
- ◆ **Manufacturing Expansion:** The ISM Manufacturing Index registered 53.3 in June, marking six straight months of expansion — a notable turnaround for a sector that contracted for most of the prior three years. Reshoring initiatives, the AI infrastructure buildout, and bonus depreciation incentives under the "Big Beautiful Bill" are credited as key tailwinds, though manufacturing employment remained in contraction for the 33rd consecutive month.³
- ◆ **Weak Jobs Report:** U.S. nonfarm payrolls rose just 57,000 in June — well below the 113,000 consensus — and net of downward revisions to April and May totaling 74,000, payrolls effectively fell 17,000. Despite the miss, H1 2026 averaged 92,000 monthly job gains, a marked improvement over 2025's anemic 10,000 monthly average, suggesting underlying labor market recovery remains intact.³
- ◆ **Unemployment Dip:** The unemployment rate edged down to 4.2% in June from 4.3%, but the decline was driven largely by a shrinking labor force rather than employment gains, as civilian employment fell 507,000. Federal government payrolls are down 323,000 since the Trump administration took office — the steepest decline since post-WWII demobilization, excluding census cycles.³
- ◆ **Gasoline Lag:** Despite WTI crude largely returning to pre-war levels, U.S. gasoline prices remain roughly 30% above pre-war levels due to the refining, transportation, and distribution lag in the supply chain. Regional disparities are stark — Hawaii and California exceed \$5.40/gallon while Indiana, which suspended state gas taxes saving ~\$0.25/gallon, sits at \$3.16, the nation's lowest.³
- ◆ **Corporate Earnings Surge:** S&P 500 Q1 2026 earnings grew 28.6% year-over-year — the highest since Q4 2021 — with net profit margins hitting a record 14.8%. Analyst estimates for full-year 2026 S&P 500 earnings rose to \$340.43 by June-end, up from \$311.28 at year-start, while Q2 2026 earnings growth is projected at 23.1%, more than double the 10-year average of 10.3%.³
- ◆ **Foreign Treasury Holdings:** Foreign holdings of U.S. Treasuries reached a record \$9.49 trillion in February 2026, with Japan (\$1.24T) and the U.K. (\$0.90T) the top holders. China held just \$0.69 trillion — less than half of Japan's stake — underscoring the continued diversification away from Chinese ownership of U.S. debt amid ongoing geopolitical tensions.³

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DIGITAL ASSETS NEWS

- ◆ **Streak Broken:** After ten consecutive days of outflows that tested investor confidence, U.S. spot Bitcoin ETFs reversed course dramatically on July 3, recording \$221.7 million in net inflows — their strongest single-day figure in roughly two months. The abrupt turnaround signals renewed institutional appetite and suggests the prolonged selling pressure may have finally exhausted itself heading into the holiday weekend.⁵
- ◆ **MiCA Goes Live:** The EU's landmark Markets in Crypto-Assets regulation reached full implementation on July 1, 2025, marking the world's first comprehensive crypto regulatory framework. All exchanges, wallet providers, and stablecoin issuers serving EU customers must now hold a MiCA license issued by a national competent authority or cease operations — ending the patchwork of conflicting national rules that had fragmented the bloc's crypto market.⁵
- ◆ **CLARITY Act Misses July 4 Deadline:** The White House had targeted Independence Day as a symbolic milestone for passing the CLARITY Act, landmark legislation aimed at establishing a regulatory framework for digital assets. That deadline passed without a signature, and CoinDesk's State of Crypto newsletter warned the clock is "really starting to run out" — raising concerns among crypto advocates about whether the bill can clear Congress before the legislative calendar tightens further.⁵

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GEOPOLITICS NEWS

- ◆ **EU:** Several leading European powers have privately accepted that some form of fee for transiting the Strait of Hormuz is now inevitable, even as the US and Gulf Arab states maintain their formal opposition, with Europeans pushing for non-discriminatory terms and a multilateral mine-clearing coalition.¹
- ◆ **Iran:** Iran and Oman jointly proposed a fee-collection mechanism for Strait of Hormuz transit, drawing a distinction between mandatory fees and voluntary administrative charges similar to models used in the Strait of Malacca, even as Oman's foreign minister publicly denied support for mandatory tolls.¹
- ◆ **Iran/US:** Indirect technical talks in Doha concluded with modest progress on maritime traffic and unfreezing Iranian funds, but no breakthrough on the deeper nuclear questions; further talks are paused until after Khamenei's burial on July 9, with the 60-day window for a permanent deal running down.¹
- ◆ **Japan:** The yen hit a 40-year low of over 162 per dollar, boosting inbound tourism and consumer spending by foreigners but alarming Tokyo, which has already spent over \$70 billion in foreign exchange reserves this year to defend the currency with limited success.¹
- ◆ **NATO/US:** Defense Secretary Hegseth drafted a plan for additional US troop cuts in Europe beyond cancellations already underway, but it was blocked by National Security Adviser Rubio and other senior officials; the episode underscores unresolved internal tensions ahead of the Ankara summit, where troop levels and allied spending will be front and center.¹
- ◆ **Russia:** Ukrainian drone strikes on refineries, depots, and terminals have produced the country's worst peacetime fuel crisis in decades, with gasoline sales to private motorists suspended in the Black Sea port of Novorossiysk, queues at stations across Russia, and Putin forced into a rare public admission that shortages are real but insisting they are temporary.¹
- ◆ **UK:** The British government announced £15 billion in additional defense funding over four years, bringing total planned defense spending to £298 billion, with major allocations for nuclear deterrence, F-35A jets, long-range missiles, and drone technology.¹
- ◆ **US/AI:** The US lifted export restrictions on Anthropic's advanced Claude Fable 5 and Mythos 5 models after roughly three weeks, following an agreement by Anthropic to proactively address security risks, cooperate with government protocols, and report malicious activity, with the Commerce Department retaining authority to reimpose controls.¹

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THE GOOD NEWS

- ◆ **SMR Breakthrough:** Canada's Ontario Power Generation broke ground on the Western world's first grid-scale small modular reactor this spring, lowering a 953-tonne foundation into place at an existing nuclear site. GE Vernova's BWRX-300 uses deliberately conventional water-cooled technology designed for repeatable factory-style construction rather than experimental coolants, targeting grid connection by 2030 — marking a genuine shift from decades of conference-room promises to poured concrete.²
- ◆ **AI Depolarizes:** A 1,500-participant study across 30 decision environments found that AI advice actually moves people away from their initial positions on average — the opposite of what most experts predicted. Notably, this depolarizing effect occurred even though the AI was measurably sycophantic, using flattering language and favoring users' existing views, suggesting the mere exposure to additional considerations outweighs the nudging effect.²
- ◆ **Millionaire Surge:** Over 440,000 Americans joined the millionaire ranks in 2025 — roughly 1,200 per day — accounting for nearly half of all new millionaires worldwide, per UBS's annual wealth report. Global millionaire counts hit record levels across every tracked market, with the \$50–100 million segment growing fastest at 7.3% annually over five years, and more than 23.6 million Americans now holding seven-figure net worth.²
- ◆ **Solar Dominance:** Renewables became the world's largest source of energy supply growth in 2025 for the first time outside a recession, with solar alone contributing 72% of that expansion. Battery storage costs plunged 45% in a single year, accelerating adoption, while geopolitical pressure from conflict in the Gulf is pushing governments to diversify away from oil and gas — structurally reinforcing the transition beyond pure economics.²

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DIVIDEND PORTFOLIO NEWS

- ◆ **ABT:** . Abbott has been gaining momentum as the market responds favorably to renewed analyst confidence in its diversified medical device and diagnostics business.⁴
- ◆ **GPC:** Genuine Parts surged on a report that O'Reilly Automotive submitted a bid for its automotive parts division. Separately, GPC ranked among top consumer discretionary performers over the past month, suggesting the acquisition speculation has been a meaningful near-term catalyst.⁴
- ◆ **LMT:** Lockheed Martin confirmed a \$3.45B acquisition of naval tech group Ultra Maritime, strengthening its maritime defense capabilities. It also secured a \$3B U.S. Army Sentinel A4 radar production contract and a \$347.5M prototype defense system deal, while Citi upgraded the stock to Buy.⁴
- ◆ **QCOM:** Amazon is reportedly developing custom on-device AI chips that could displace Qualcomm in Echo and Fire TV devices, and Google tapped MediaTek over Qualcomm for its Triggerfish TPU. Tenstorrent denied buyout rumors.⁴

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GROWTH PORTFOLIO NEWS

- ◆ **AEM:** Agnico Eagle suspended operations at its Barnat pit following rock movement, a material safety and production concern. The halt could affect near-term gold output at one of its Canadian mines, though the company has not yet disclosed the expected duration or financial impact.⁴
- ◆ **NVDA:** Nvidia's "Kyber" AI rack was reportedly delayed to 2028 on manufacturing issues; it struck revenue-sharing deals with cloud partners to scale AI factories, and Samsung plans a 20% DRAM price hike in Q3 that could pressure margins.
- ◆ **VST:** Vistra led utility sector gainers in Q2 despite the sector's overall Q2 slip. The largest U.S. power grid issued emergency curtailment orders amid record heat, underscoring the grid stress that supports demand for Vistra's gas and nuclear generation assets and the broader AI power infrastructure thesis.⁴

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SUMMARY

In regard to the United States Economy, market concentration remains historically extreme, with the ten largest S&P 500 companies commanding nearly 40% of index weight. Corporate earnings surged 28.6% year-over-year in Q1 2026, reaching record profit margins, while manufacturing expanded for six consecutive months. The jobs market sent mixed signals — payrolls badly missed June estimates, though unemployment ticked down to 4.2% and full-year earnings forecasts continued climbing.

In the world of digital assets, momentum shifted as U.S. spot Bitcoin ETFs snapped a ten-day outflow streak with their strongest single-day inflows in roughly two months, signaling renewed institutional appetite. The EU's comprehensive crypto framework reached full implementation, establishing the world's first bloc-wide licensing regime, while U.S. legislation targeting a domestic digital asset framework missed a symbolic deadline, raising concerns about whether Congress can act before the calendar tightens.

Recently around the globe, geopolitical friction intensified across multiple fronts. Strait of Hormuz transit fees moved closer to reality as European powers quietly accepted their inevitability, while U.S.-Iran talks in Doha yielded modest progress but no nuclear breakthrough. Japan's yen fell to a 40-year low despite costly intervention, NATO faced internal tension over troop commitments ahead of the Ankara summit, and Ukrainian drone strikes triggered Russia's worst peacetime fuel crisis in decades.

For the good news, Canada broke ground on the Western world's first grid-scale small modular reactor, moving nuclear energy from promise to poured concrete. Renewables became the largest source of global energy supply growth for the first time outside a recession, with solar driving 72% of expansion and battery storage costs falling 45% in a single year. A large-scale study found AI advice actually depolarizes users, and over 440,000 Americans joined the millionaire ranks in 2025.

In the news for the dividend portfolio, Lockheed Martin made headlines with a \$3.45 billion acquisition of Ultra Maritime, a major Army radar contract, and a Citi upgrade to Buy. Genuine Parts surged on acquisition speculation after O'Reilly reportedly bid on its auto parts division, and Abbott received a new Outperform initiation. Qualcomm faced a harder week, contending with a downgrade, analyst caution, and reports that both Amazon and Google are moving toward competing chip solutions.

And, for the growth portfolio, Nvidia remained the center of attention despite mixed news — a reported delay on its next-generation AI rack, new cloud revenue-sharing deals, and strong demand signals from Foxconn. Vistra-led utility sector gains in Q2 as record heat and emergency grid curtailments reinforced the power demand thesis behind its gas and nuclear assets. Agnico Eagle drew concern after suspending operations at a Canadian mine pit following rock movement, with production impact still undisclosed.

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